

SOURCEBOOK

COBS Conduct of Business Sourcebook

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CHAPTER

COBS 1 Application

Section : COBS 1.1 General application

Introduction

COBS 1.1.-1

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- (1) *COBS 1.1.1R* contains the *general application rule*. This is the starting point for the application of this sourcebook.
- (2) This section extends the general application of parts of this sourcebook to:
 - (a) certain activities relating to *deposits* (including *structured deposits*) (*COBS 1.1.1AR* to *COBS 1.1.1AER*);
 - (b) the activity of *issuing electronic money* (*COBS 1.1.1BR*); and
 - (c) *auction regulation bidding* (*COBS 1.1.1ER*).
- (3) The general application of this sourcebook is further modified by:
 - (a) *COBS 1 Annex 1*, Part 1, in relation to certain activities of a *firm* (*COBS 1.1.2R*);
 - (b) *COBS 1 Annex 1*, Part 2, in relation to the location from which a *firm's* activities are carried on (*COBS 1.1.2R*); and
 - (c) individual chapters of this sourcebook (which may extend the general application of this sourcebook) (*COBS 1.1.3R*).
- (4) The application of this sourcebook to *TP firms* and *Gibraltar-based firms* is addressed in *COBS 1 Annex 2* (*COBS 1.1.1CR*).
- (5) Further *guidance* on:
 - (a) the application of this sourcebook is in *COBS 1 Annex 1*, Part 3; and
 - (b) the interpretation of certain words and phrases used in this sourcebook is in *COBS 1.4*.

General application rule

COBS 1.1.1

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This sourcebook applies to a *firm* with respect to the following activities carried on from an establishment maintained by it, or its *appointed representative*, in the *United Kingdom*:

- (1) [deleted]
- (2) *designated investment business*;
- (3) *long-term insurance business* in relation to *life policies*;

and activities connected with them.

Deposits (including structured deposits)

COBS 1.1.1A

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This sourcebook applies to a *firm* with respect to activities carried on in relation to *deposits* from an establishment maintained by it, or its *appointed representative*, in the *United Kingdom* only as follows:

	Section / chapter	Application in relation to deposits
(1)	The <i>rules</i> specified in	A <i>MiFID investment firm</i> ,

	<i>COBS 1.1.1AER.</i>	a <i>third country investment firm</i> and a <i>MiFID optional exemption firm</i> when selling, or advising a <i>client</i> in relation to, a <i>structured deposit</i> .
(2)	<i>COBS 4.6</i> (Past, simulated past and future performance)	<i>Communication</i> or <i>approval</i> of a <i>financial promotion</i> relating to a <i>structured deposit</i> that is addressed to, or disseminated in such a way that it is likely to be received by, a <i>retail client</i> .
(3)	<i>COBS 4.7</i> (Direct offer financial promotions)	<i>Communication</i> or <i>approval</i> of a <i>financial promotion</i> relating to a <i>cash deposit ISA</i> , <i>cash-only lifetime ISA</i> or <i>cash deposit CTF</i> that is addressed to, or disseminated in such a way that it is likely to be received by, a <i>retail client</i> .
(4)	<i>COBS 4.10</i> Approving and confirming compliance of financial promotions)	To the extent that other <i>rules</i> in <i>COBS 4</i> apply.
(4A)	<i>COBS 9B</i> (Targeted support)	<i>Providing targeted support</i> in relation to <i>structured deposits</i> .
(5)	<i>COBS 13</i> (Preparing product information)	Producing a <i>cash-deposit ISA</i> , <i>cash-only lifetime ISA</i> or <i>cash-deposit CTF</i> .
(6)	<i>COBS 14</i> (Providing product information to clients)	<i>Selling, personally recommending</i> or <i>arranging</i> the sale of a <i>cash-deposit ISA</i> , <i>cash-only lifetime ISA</i> or <i>cash-deposit CTF</i> to a <i>retail client</i> .
(7)	<i>COBS 15</i> (Cancellation)	A cancellable contract between a <i>consumer</i> and a <i>firm</i> .

Structured deposits: further provisions

COBS 1.1.1AA

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Except in *COBS 6.2B*, in the *rules* referred to in *COBS 1.1.1AR(1)* (and in any related *guidance*), references to:

(1) *investment services* and *designated investment business* include selling, or advising *clients* in relation to, *structured deposits*; and

(2) *financial instruments* and *designated investments* include *structured deposits*.

COBS 1.1.1AE

R The *rules* which apply to a *firm* in *COBS 1.1.1AR(1)* when selling, or advising a *client* in relation to, a *structured deposit*:

(1) are those in the sections or provisions of this sourcebook specified in the table below which constitute *UK law on markets in financial instruments*; and

(2) as those *rules* otherwise apply to the *firm* in relation to *MiFID*, *equivalent third country* or *optional exemption business*.

COBS chapter	Description
<i>COBS 2</i>	Conduct of business obligations
<i>COBS 3</i>	Client categorisation
<i>COBS 4</i>	Communicating with clients, including financial promotions
<i>COBS 6.1ZA</i>	Information about the firm and compensation information (MiFID and insurance distribution provisions)
<i>COBS 6.2B</i>	Describing advice services
<i>COBS 8A</i>	Client agreements (MiFID provisions)
<i>COBS 9A</i>	Suitability (MiFID and insurance-based investment products provisions)
<i>COBS 10A</i>	Appropriateness (for non-advised services) (MiFID and insurance-based investment products provisions)
<i>COBS 11.2A.34R</i>	Best execution – MiFID provisions
<i>COBS 11.3</i>	Client order handling
<i>COBS 11.4</i>	Client limit orders
<i>COBS 11.5A</i>	Record keeping: client orders and transactions
<i>COBS 11A.1</i>	Underwriting and placing
<i>COBS 12.2</i>	Investment research and non-independent research

COBS 14.3A	Information about financial instruments (MiFID provisions)
COBS 16A	Reporting information to clients (MiFID and insurance-based investment products provisions)

COBS 1.1.1AF

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The effect of **COBS 1.1.1AER** is that a *rule* in this sourcebook only applies to a *firm* when selling, or advising a *client* in relation to, a *structured deposit* for the purposes of **COBS 1.1.1AR(1)** if that *rule*:

(1) would apply to the *firm* in relation to *MiFID, equivalent third country or optional exemption business*; and

(2) derives from *MiFID* or its implementing measures.

COBS 1.1.1AG

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Unless the context otherwise requires, reference to ‘advising’ (as that word is afforded its natural meaning) a *client* in relation to a *structured deposit* includes *providing targeted support* in relation to a *structured deposit*.

Electronic money

COBS 1.1.1B

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COBS 4.4.3 R, **COBS 5** (Distance communications), **COBS 15.2** (The right to cancel), **COBS 15.3** (Exercising a right to cancel), **COBS 15.4** (Effects of cancellation) and **COBS 15 Annex 1** (Exemptions from the right to cancel) apply to a *firm* with respect to the activity of *issuing electronic money* as set out in those provisions.

Application to TP firms and Gibraltar-based firms

COBS 1.1.1C

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This sourcebook applies to *TP firms* and *Gibraltar-based firms* as specified in **COBS 1 Annex 2**.

COBS 1.1.1D

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COBS 1 Annex 2 also contains *guidance* on the application of this sourcebook to *TP firms* and *Gibraltar-based firms*.

Auction regulation bidding

COBS 1.1.1E

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COBS 5 (Distance communications) applies to a *firm* in relation to its carrying on of *auction regulation bidding*.

Modifications to the general application rule

COBS 1.1.2

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The application of this sourcebook is modified in **COBS 1 Annex 1** according to the activities of a *firm* (Part 1) and its location (Part 2).

COBS 1.1.3

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The application of this sourcebook is also modified in the chapters to this sourcebook for particular purposes, including those relating to the type of *firm*, its activities or location, and for purposes relating to connected activities.

Firms providing investment services into Switzerland under the BFSa

COBS 1.1.3A **R** *COBS 6.1ZB* applies only in accordance with *COBS 6.1ZB.1R*.

Guidance

COBS 1.1.4 **G** *Guidance* on the application provisions is in *COBS 1 Annex 1* (Part 3).

COBS 1.1.5 **G** *PERG 13* contains general *guidance* on the meaning of *financial instrument, investment services and/or activities* and *MiFID investment firm* (and of certain other kinds of investment firm).

COBS 1.1.6 **G** *PERG 16* contains general *guidance* on the businesses to which the *UK* provisions which implemented *AIFMD* apply. *FUND 1* contains *guidance* on the types of *AIFM*.

Actions for damages

COBS 1.1.7 **R** A contravention of a *rule* in this sourcebook that requires specific records to be kept for the purpose of complying with *rules* in *SYSC 9* does not give rise to a right of action by a *private person* under section 138D of the *Act* (and each of those *rules* is specified under section 138D(3) of the *Act* as a provision giving rise to no such right of action).

Section : COBS 1.4 Interpretation

Purpose

COBS 1.4.1

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The purpose of this section is to provide *guidance* on the interpretation of certain words and phrases used in this sourcebook.

In good time

COBS 1.4.2

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(1) Certain provisions in this sourcebook require *firms* to provide *clients* with information 'in good time' (for example, *COBS 6.1ZA.19AR*).

(2) In determining what constitutes the provision of information 'in good time', a *firm* should take into account, having regard to the urgency of the situation, the *client's* need for sufficient time to read and understand the information before taking an investment decision.

(3) A *client* is likely to require more time to review information given on a complex or unfamiliar product or service, or a product or service a *client* has no experience with, than a *client* considering a simpler or more familiar product or service, or where the *client* has relevant prior experience.

Section : COBS 1 Annex 1 Application (see COBS 1.1.2R)

COBS 1 Annex 1

Part 1: What?

Modifications to the general application of COBS according to activities

1.	Eligible counterparty business		
1.1	R	The <i>COBS</i> provisions shown below do not apply to <i>eligible counterparty business</i> except, where the <i>eligible counterparty business</i> is in scope of the <i>IDD</i> , those provisions which implemented or derived from the <i>IDD</i> continue to apply.	
		COBS provision	Description
		<i>COBS 2</i> (other than <i>COBS 2.1.1AR</i> , <i>COBS 2.2A</i> and <i>COBS 2.4</i>)	Conduct of business obligations
		<i>COBS 4</i> (other than <i>COBS 4.2</i> and <i>COBS 4.4.1R</i>)	Communicating with clients including financial promotions
		<i>COBS 6.1</i>	Information about the firm, its services and remuneration (non-MiFID and non insurance distribution provisions)
		<i>COBS 6.1ZA</i> (other than <i>COBS 6.1ZA.11R</i> to <i>COBS 6.1ZA.13R</i>)	Information about costs and charges of different services or products (MiFID provisions)
		<i>COBS 8</i>	Client agreements (non-MiFID provisions)
		<i>COBS 8A</i>	Client agreements (MiFID provisions)
		<i>COBS 10</i>	Appropriateness (for non-MiFID and non-insurance-based investment products non-advised services) (non-MiFID and non-insurance-

			based investment products provisions)
		COBS 10A	Appropriateness (for non-advised services) (MiFID and insurance-based investment products provisions)
		COBS 11.2A , COBS 11.2B andCOBS 11.3	Best execution, quality of execution and client order handling
		COBS 12.2.18R	Labelling of non-independent research
		COBS 14.3	Information about designated investments (non-MiFID provisions)
		COBS 14.3A (other than COBS 14.3A.3R)	Information about financial instruments (MiFID provisions)
		COBS 16	Reporting information to clients (non-MiFID provisions)
		COBS 16A.3	Occasional reporting: MiFID business
		[Note: paragraphs 1 and 2 of article 30(1) of MiFID]	
2.	Transactions between an MTF operator and its users		
2.1	R	The COBS provisions (applicable to MiFID business) shown below do not apply to a transaction between an operator of an MTF and a member or participant in relation to the use of the MTF.	
		COBS provision	Description
		COBS 2 (other than COBS 2.4)	Conduct of business obligations
		COBS 4 (other than COBS 4.4.1R)	Communicating with clients, including financial promotions

		<i>COBS 6.1ZA</i>	Information about the firm and compensation information (MiFID provisions)
		<i>COBS 8A</i>	Client agreements (MiFID provisions)
		<i>COBS 10A</i>	Appropriateness (for non-advised services) (MiFID provisions)
		<i>COBS 11.2A</i> , <i>COBS 11.2B</i> , <i>COBS 11.3</i> and <i>COBS 11.4</i>	Best execution, quality of execution, client order handling and client limit orders
		<i>COBS 14.3A</i>	Information about financial instruments (MiFID provisions)
		<i>COBS 16A</i>	Reporting information to clients (MiFID provisions)
		[Note: article 19(4) of <i>MiFID</i>]	
3.	Transactions concluded on an MTF		
3.1	R	The <i>COBS</i> provisions in paragraph 2.1R do not apply to transactions concluded under the rules governing an <i>MTF</i> between members or participants of the <i>MTF</i> . However, the member or participant must comply with those provisions in respect of its <i>clients</i> if, acting on its <i>clients</i> behalf, it is executing their orders on an <i>MTF</i> .	
		[Note: article 19(4) of <i>MiFID</i>]	
3A.	Operators of OTFs		
3A.1	G	[deleted]	
4.	Transactions concluded on a regulated market		
4.1	R	In relation to transactions concluded on a <i>regulated market</i> , members and participants of the <i>regulated market</i> are not required to apply to each other	

		the <i>COBS</i> provisions in paragraph 2.1R. However, the member or participant must comply with those provisions in respect of its <i>clients</i> if, acting on its <i>clients</i> behalf, it is executing their orders on a <i>regulated market</i> .
		[Note: article 53(4) of <i>MiFID</i>]
5.	Consumer credit products	
5.1	R	If a <i>firm</i> , in relation to its <i>MiFID business</i> , offers an <i>investment service</i> as part of a financial product that is subject to other provisions of <i>EU</i> -derived law related to <i>credit institutions</i> and consumer credits with respect to information requirements, that service is not subject to the <i>rules</i> in this sourcebook that implemented articles 24(3), (4) and (5) of <i>MiFID</i> .
		[Note: article 24(6) of <i>MiFID</i>]
5.2	G	This exclusion for consumer credit products is intended to apply on a narrow basis in relation to cases in which the <i>investment service</i> is a part of another financial product. It does not apply where the <i>investment service</i> is the essential or leading part of the financial product. It also does not apply where the service provided is a combination of an <i>investment service</i> and an <i>ancillary service</i> (for example, granting a credit for the execution of an order where the credit is instrumental to the buying or the selling of a <i>financial instrument</i> .) The exclusion also does not apply in relation to the sale of a <i>financial instrument</i> for the purpose of enabling a <i>client</i> to invest money to repay his obligations under a loan, mortgage or home reversion.
5A.	Mortgages and mortgage bonds	
5A.1	R	The <i>rule</i> in paragraph 5A.2R applies in relation to an <i>MCD credit agreement</i> with a <i>consumer</i> which is subject to the provisions concerning the creditworthiness assessment of <i>consumers</i> in Chapter 6 of the <i>MCD</i> (which were transposed in <i>MCOB 11</i> and <i>MCOB 11A</i>).
5A.2	R	If an agreement with a <i>consumer</i> within paragraph 5A.1R has as a pre-requisite the provision to that same <i>consumer</i> of an <i>investment service</i> in

		relation to mortgage bonds satisfying the conditions in paragraph 5A.3R in order for the loan to be payable, refinanced or redeemed, that <i>investment service</i> is not subject to the <i>rules</i> in this sourcebook which implemented article 25 of <i>MiFID</i> .	
5A.3	R	The conditions in paragraph 5A.2R are that the mortgage bonds:	
		(1)	are specifically issued to secure the financing of the <i>MCD credit agreement</i> in paragraph 5A.1R; and
		(2)	have terms which are identical to the <i>MCD credit agreement</i> in paragraph 5A.1R.
		[Note: article 25(7) of <i>MiFID</i>]	
6.	Use of third party processors in life insurance distribution activities		
6.1	R	If a <i>firm</i> (or its <i>appointed representative</i> or, where applicable, its <i>tied agent</i>) outsources <i>insurance distribution activities</i> to a <i>third party processor</i> :	
		(1)	the <i>firm</i> must accept responsibility for the acts and omissions of that <i>third party processor</i> conducting those outsourced activities; and
		(2)	any <i>COBS rule</i> requiring the <i>third party processor's</i> identity to be disclosed to <i>clients</i> must be applied as a requirement to disclose the <i>firm's</i> identity;
		unless the <i>third party processor</i> is giving <i>personal recommendations</i> in relation to <i>advising on investments (except P2P agreements)</i> or <i>providing</i>	

		<i>targeted support.</i>
7.	Modified meaning of regulated activities for UK AIFMs and UK UCITS management companies	
7.1	R	In determining whether a provision in <i>COBS</i> applies to a UK AIFM or a <i>UK UCITS management company</i> , an activity carried on by the <i>firm</i> which would be a <i>regulated activity</i> but for article 72AA (Managers of UCITS and AIFs) of the <i>Regulated Activities Order</i> , must be treated as a <i>regulated activity</i> carried on by the <i>firm</i> .
8.	PRIIPs Regulation [deleted]	

Part 2: Where?

Modifications to the general application according to location

1	EEA territorial scope rule: compatibility with European law [deleted]	
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2	Business with UK clients from overseas establishments	
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2	R (1)	This sourcebook applies to a <i>firm</i> which carries on business with a <i>client</i> in the <i>United Kingdom</i> from an establishment overseas.
.		
1		
	(2)	But the sourcebook does not apply to those activities if the office from which the activity is carried on were a separate <i>person</i> and the activity:
		(a) would fall within the overseas <i>persons</i> exclusions in <i>article 72</i> of the <i>Regulated Activities Order</i> , or
		(b) would not be regarded as carried on in the <i>United Kingdom</i> .
2	G	[deleted]
.		
2		
3	Public offer platforms	

3 . 1	R	This sourcebook applies to a <i>firm</i> with respect to its activity of <i>operating a POP</i> whether from an establishment maintained by it in the <i>United Kingdom</i> or overseas.
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Part 3: Guidance

1.	The main extensions, modifications and restrictions to the general application	
1.1	G	The general application of this sourcebook is modified in Parts 1 and 2 of Annex 1 and in certain chapters of the <i>Handbook</i> . The modification may be an extension of the general application. For example, <i>COBS 4</i> (Communicating with clients, including financial promotions) has extended the general application.
1.2	G	[deleted]
1.3	G	Certain chapters of this sourcebook apply only to <i>firms</i> in relation to their <i>MiFID, equivalent third country or optional exemption business</i> and, in some of these chapters, specified <i>insurance distribution activities</i> (sometimes only in relation to <i>insurance-based investment products</i>) while others apply only to <i>firms' designated investment business</i> which is not <i>MiFID, equivalent third country or optional exemption business</i> or, in some of these chapters, certain <i>insurance distribution activities</i> .
1.4	G	<i>COBS 18</i> (Specialist regimes) contains specialist regimes which modify the application of the provisions in this sourcebook for particular types of <i>firm</i> and business. To the extent that they are in conflict, the <i>rules</i> in <i>COBS 18</i> on the application of the provisions in this sourcebook should be understood as overriding any other provision (whether in <i>COBS 1</i> or an individual chapter) on the application of <i>COBS</i> .
2.	The Single Market Directives and other directives [deleted]	
3.	MiFID: effect on territorial scope [deleted]	

[illegible]

7.	Electronic Commerce Directive: effect on territorial scope [deleted]
8.	Investor Compensation Directive [deleted]
9.	UCITS Directive: effect on territorial scope [deleted]
10.	AIFMD: effect on territorial scope [deleted]
11.	SRD: effect on territorial scope [deleted]

Section : COBS 1 Annex 2 Application to TP firms and Gibraltar-based firms (see COBS 1.1.1CR)

COBS 1 Annex 2

Part 1: TP firms

1 Introduction		
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1	G(	<i>GEN 2.2</i> sets out how the <i>Handbook</i> applies to <i>TP firms</i> .
.	1	
1	)	
	(	This Part supplements <i>GEN 2.2</i> by further specifying how provisions in this
2		sourcebook apply to <i>TP firms</i> .
	)	
	(	In summary, the combined effect of <i>GEN 2.2.26R</i> and the <i>rules</i> in this Annex is that,
3		for the purposes of this sourcebook, <i>TP firms</i> are subject to those <i>rules</i> which:
	)	
	(	applied to them immediately prior to <i>IP completion day</i> (whether or not derived from
a		<i>EU</i> law);
	)	
	(	implemented an <i>EU Directive</i> and which relate to a matter which, immediately before
b		<i>IP completion day</i> , was reserved to the <i>TP firm's Home State</i> or to the <i>EEA State</i> from
	)	where the service is provided; and
	(	came into force after <i>IP completion day</i> and which are specified in this Annex.
c		
	)	
	(	However, <i>GEN 2.2.26R(3)</i> and <i>(4)</i> and paragraph 3 of this Annex include provisions
4		which mean that a <i>TP firm</i> does not contravene certain <i>rules</i> in this sourcebook which
	)	derive from <i>EU</i> law to the extent that it complies with or applies a relevant provision of
		its <i>Home State's</i> law or directly applicable <i>EU</i> law.
2 Application of COBS		
.		
2	R	In addition to those <i>rules</i> specified in <i>GEN 2.2.26R</i> , a <i>TP firm</i> must also comply with:
.		
1		
	(	those <i>rules</i> , as in force from time to time, which substitute the <i>UK</i> version of

		1	Commission Delegated Regulation (<i>EU</i>) 2017/565 of 25 April 2016 which was part of) <i>UK</i> law by virtue of the <i>EUWA</i> as at 23 October 2025;
			[Note: The FCA has provided derivation and changes tables which indicate where provisions of assimilated <i>EU</i> law appear in the <i>Handbook</i> : https://www.fca.org.uk/firms/repeal-replacement-retained-eu-law/derivation-changes-tables]
		(2)	(to the extent that the <i>rule</i> does not already apply to such a <i>TP firm</i> as a result of <i>GEN 2.2.26R</i>) the provisions in:
		(a)	(<i>COBS 2.2</i> (Information disclosure before providing services (other than MiFID and insurance distribution)), where a <i>rule</i> in that section applies to a <i>firm</i> carrying on) <i>designated investment business</i> in relation to a <i>non-mass market investment</i> ;
		(b)	(<i>COBS 4.5.2R</i> (Communicating with retail clients (non-MiFID provisions) – General <i>rule</i>);
		(c)	(<i>COBS 4.10</i> (Approving and confirming compliance of financial promotions);
		(d)	(<i>COBS 4.11</i> (Record keeping: financial promotion);
		(e)	(<i>COBS 4.12A</i> (Promotion of restricted mass market investments);
		(f)	(<i>COBS 4.12B</i> (Promotion of non-mass market investments);
		(g)	(the <i>rules</i> in <i>COBS 4</i> (Communicating with clients, including financial promotions) in so far as they relate to the <i>communication</i> and <i>approval</i> of <i>financial promotions</i>) relating to <i>qualifying cryptoassets</i> ;
		(h)	(<i>COBS 10</i> (Appropriateness (for non-advised services) (non-MiFID and non- insurance-based investment products provisions));
		()	(<i>COBS 14.3</i> (Information about designated investments (non-MiFID provisions)),

		i	where a <i>rule</i> in that chapter applies to a <i>firm</i> which is <i>arranging</i> (bringing about) or) executing a <i>deal</i> in a <i>speculative illiquid security</i> ;
		(	<i>COBS 16.6.7AR</i> (Drawdown pensions: annual statements) and <i>COBS 16.6.8R</i> to j <i>COBS 16.6.13G</i> (Income withdrawals – annual statements) in relation to business) carried on from an establishment in the <i>United Kingdom</i> ;
		(	<i>COBS 19.10</i> (Drawdown, investment pathways and cash warnings) in relation to k business carried on from an establishment in the <i>United Kingdom</i> ; and)
		(	<i>COBS TP 2</i> paragraphs 2.8G to 2.8J (Other Transitional Provisions) in relation to l business carried on from an establishment in the <i>United Kingdom</i> .)
3 Evidencing compliance			
		.	
3	RA		<i>TP firm</i> does not contravene a <i>rule</i> applied by paragraph 2.1R(1) ('the relevant <i>rule</i> ') to the extent that:
		1	
		(	at the time the <i>firm</i> was required to comply with the <i>rule</i> , the <i>firm</i> (or its <i>appointed</i> 1 <i>representative</i>) complied with a requirement in Commission Delegated Regulation) (<i>EU</i>) 2017/565 supplementing Directive 2014/65/EU of the European Parliament and of the Council as regards organisational requirements and operating conditions for investment firms and defined terms for the purposes of that directive as it has effect in <i>EU</i> law ('the EEA requirement') in relation to the services it provides in or into the <i>United Kingdom</i> ; and
		(	the EEA requirement has equivalent effect to the relevant <i>rule</i> as it applies in the 2 <i>United Kingdom</i> .)
3	R		Paragraph 3.1R does not apply unless a <i>TP firm</i> can demonstrate to the <i>FCA</i> that, at the relevant time, it complied with or applied a provision in that paragraph to the extent 2 referred to there.
3	G		The purpose of paragraph 3.1R is to achieve an equivalent effect to <i>GEN 2.2.26R(3)</i> 1 and (4) in relation to <i>rules</i> in this sourcebook that derive from the <i>EU MiFID Org</i> 3 <i>Regulation</i> .
		(	Further <i>guidance</i> on the application of the <i>Handbook</i> to <i>TP firms</i> can be found in <i>GEN</i> 2 2.2.)

Part 2: Gibraltar-based firms

1		Introduction
1	G(	<i>GEN 2.3</i> sets out how the <i>Handbook</i> applies to <i>Gibraltar-based firms</i> .
1	1	
1	)	
	(	This Part supplements <i>GEN 2.3</i> by further specifying how provisions in this
2		sourcebook apply to <i>Gibraltar-based firms</i> .
	)	
	(	In summary, the combined effect of <i>GEN 2.3.1R</i> and the <i>rules</i> in this Annex is that, for
3		the purposes of this sourcebook, <i>Gibraltar-based firms</i> are subject to:
	)	
	(	<i>rules</i> which applied to them immediately prior to <i>IP completion day</i> (whether or not
	a	derived from <i>EU</i> law); and
	)	
	(	<i>rules</i> which came into force after <i>IP completion day</i> and which are specified in this
	b	Annex.
	)	
		2 Application of COBS
		.
2	R	In addition to those <i>rules</i> applying by virtue of <i>GEN 2.3.1R</i> , a <i>Gibraltar-based firm</i> must
1		also comply with:
	(	(in relation to a <i>Gibraltar-based investment firm</i>), those <i>rules</i> , as in force from time to
1		time, which substitute the <i>UK</i> version of Commission Delegated Regulation (EU)
	)	2017/565 of 25 April 2016 which was part of <i>UK</i> law by virtue of the <i>EUWA</i> as at 23
		October 2025 when carrying on business from an establishment in the <i>United</i>
		<i>Kingdom</i> ;
		[Note: The FCA has provided derivation and changes tables which indicate where
		provisions of assimilated EU law appear in the Handbook:
		https://www.fca.org.uk/firms/repeal-replacement-retained-eu-law/derivation-changes-tables]

		((to the extent that the <i>rule</i> does not already apply to such a <i>Gibraltar-based firm</i> as a result of <i>GEN 2.3.1R</i>) the provisions in:)
		(<i>COBS 2.2</i> (Information disclosure before providing services (other than MiFID and insurance distribution)), where a <i>rule</i> in that section applies to a <i>firm</i> carrying on) <i>designated investment business</i> in relation to a <i>non-mass market investment</i> ;
		(<i>COBS 4.5.2R</i> (Communicating with retail clients (non-MiFID provisions) – General b rule);)
		(<i>COBS 4.10</i> (Approving and confirming compliance of financial promotions); c)
		(<i>COBS 4.11</i> (Record keeping: financial promotion); d)
		(<i>COBS 4.12A</i> (Promotion of restricted mass market investments); e)
		(<i>COBS 4.12B</i> (Promotion of non-mass market investments); f)
		(the <i>rules</i> in <i>COBS 4</i> (Communicating with clients, including financial promotions) in g so far as they relate to the <i>communication</i> and <i>approval</i> of <i>financial promotions</i>) relating to <i>qualifying cryptoassets</i> ;
		(<i>COBS 9B</i> (Targeted support); g a)
		(<i>COBS 10</i> (Appropriateness (for non-advised services) (non-MiFID and non- h insurance-based investment products provisions));)
		(<i>COBS 14.3</i> (Information about designated investments (non-MiFID provisions)), i where a <i>rule</i> in that chapter applies to a <i>firm</i> which is <i>arranging</i> (bringing about) or) <i>executing a deal</i> in a <i>speculative illiquid security</i> ;
		(<i>COBS 16.6.7AR</i> (Drawdown pensions: annual statements) and <i>COBS 16.6.8R</i> to

			j	<i>COBS 16.6.13G</i> (Income withdrawals – annual statements) in relation to business
			)	carried on from an establishment in the <i>United Kingdom</i> ;
			(	<i>COBS 19.10</i> (Drawdown, investment pathways and cash warnings) in relation to
			k	business carried on from an establishment in the <i>United Kingdom</i> ; and
			)	
			(	<i>COBS TP 2</i> paragraphs 2.8G to 2.8J (Other Transitional Provisions) in relation to
			l	business carried on from an establishment in the <i>United Kingdom</i> .
			)	